

HOW TO CONSOLIDATE PENSIONS

Most people will have paid into different workplace pensions over the years as they move from employer to employer. As a result it can be hard to keep track of how each pension fund is being run, how much has been saved into it, and how it is currently performing. Consolidating pensions into one plan makes it easier for savers to keep track of their pension savings – and it may save money too, through a reduction in fees and administration costs. However, some older pension schemes have better benefits that may be lost if all pension plans are consolidated into a single pot.



WARNING

All pension schemes have very strict rules, so if a saver receives a letter, call, or email suggesting they break these rules penalty-free, they should be very suspicious. Fraudsters try to tempt savers into handing over their pension funds by talking about:

- A money-making investment or other business opportunity
- New ways to invest their pension money
- Accessing their pension money before retirement age

1891

the year the world's first old-age pension was introduced in Germany

Annuities



An annuity is an insurance product that offers a fixed monthly or annual income for life. Use of annuities varies from country to country. For example, about 80 per cent of pension funds are converted to annuities in Switzerland, but far fewer are in Australia. A rule change in the UK means that savers are no longer legally obliged to buy an annuity on retirement.



Income drawdown



Some pension plans offer the option of keeping money invested – and hopefully producing decent returns – with cash sums withdrawn as necessary. If too much cash is withdrawn, or the investments perform badly, however, then again there is a risk that the saver will run out of money.

